The Thing That Generates CASH-FLOW

When a company lacks an asset, people become a bottleneck. The bottleneck very well could be the founder or the owner of that business. Bottleneck then becomes a cash-flow blocker and limits growth

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Many of you might know me from my days at Knewron Technologies. When I sold that company five years ago, it was a mixed experience. But one critical insight that I have gotten from that transaction remains a big one to this date with me. I realised I could have gotten a better value from it, only if I had built enough assets. It wasn't just my realisation, the buyers hinted at that too.

The point is income always follows assets. And that means, if you are intending to increase the value or valuation of your business, if you are intending to increase cash-flow in business, then having enough appropriate assets is going to be the key.

What's an asset?

In plain simple dictionary terms, an asset is something that is owned by a business, has value, and can be used to generate income or provide future economic benefits.

Assets can be tangible, such as property, equipment, tools, inventory, etc, or intangible, such as patents, designs, trademarks, copyrights, goodwill, investments, and so on.

Tangible assets are easier to recognise, understand, and evaluate. However, intangible assets are often difficult to under-